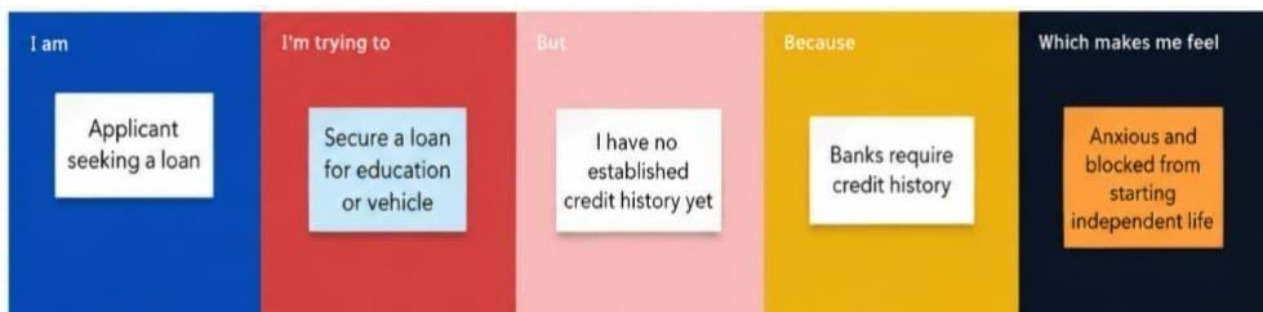


Project Initialization and Planning Phase

Date	24 June 2026
Team ID	XXXXXX
Project Name	Smart Lender – Loan Approval Prediction
Maximum Marks	3 Marks

Define Problem Statements (Customer Problem Statement Template):

The traditional loan approval process is often slow, complex, and dependent on manual document verification, which increases processing time and the chances of human error. Many eligible applicants are rejected or experience long waiting periods due to inconsistent decision-making. Financial institutions also face challenges in evaluating a large number of loan applications efficiently. The Smart Lender – Loan Approval Prediction System uses machine learning algorithms to analyze applicant information and predict loan approval accurately, ensuring faster, fairer, and more reliable loan decisions.



Problem Statement (PS)	I am (Customer)	I'm trying to	But	Because	Which makes me feel
PS-1	A salaried employee planning to buy a house.	Apply for a home loan.	The approval process takes too long.	Banks manually verify multiple documents.	Worried that I may lose the property opportunity.

PS-2	A small business owner looking for financial support.	Apply for a business loan.	I am unsure whether my loan will be approved.	Different banks follow different evaluation methods	Confused and stressed about my business expansion.
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